

FNB Product Sales

Performance Analysis



Analysis of daily unit price, gross profit, promotion periods and price elasticity of demand.

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Metrics developed

- Average price per year
- Average unit sales price
- Daily gross profit percentage
- Daily gross profit percentage per unit

Promotion analysis

- Selected 3 promotion periods
- Calculated price elasticity of demand
- Compared promotional performance against non-promotional performance

KPI Overview



R186.9m

Total sales

5,279,872

Total units sold

R37.07

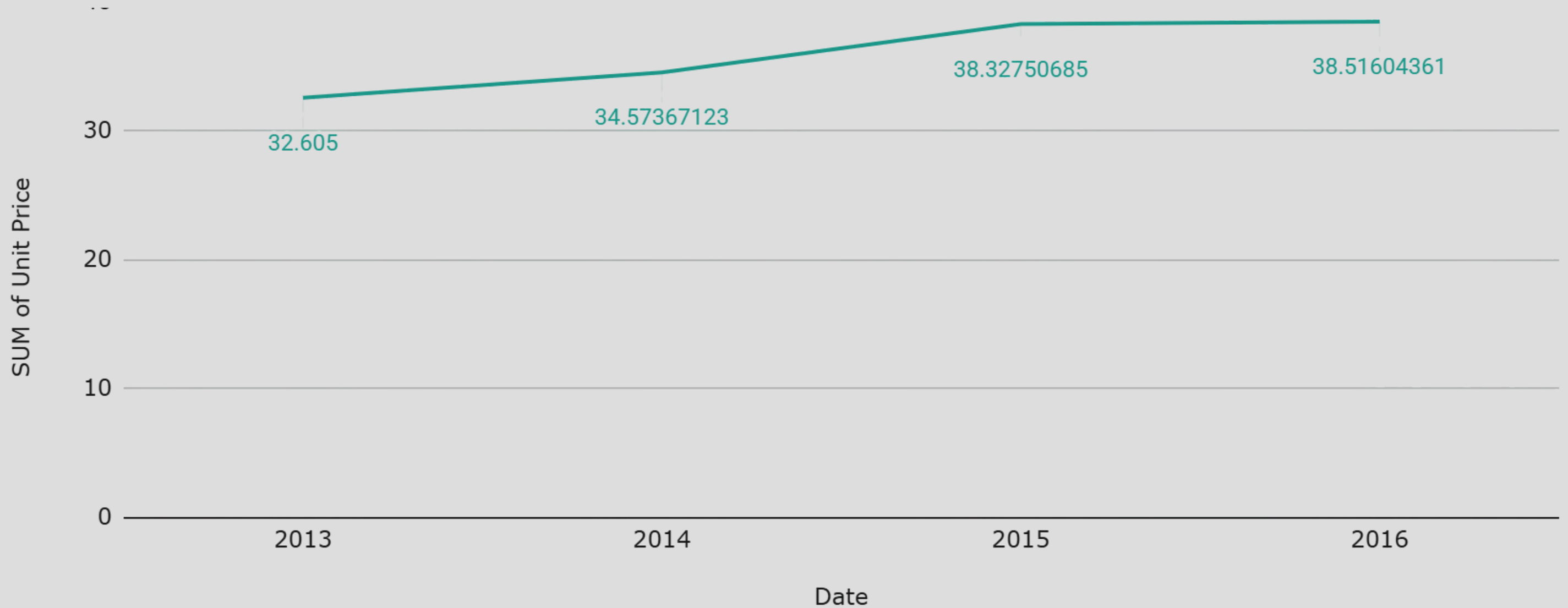
Average daily unit sales
price

-0.87%

Average daily gross profit %

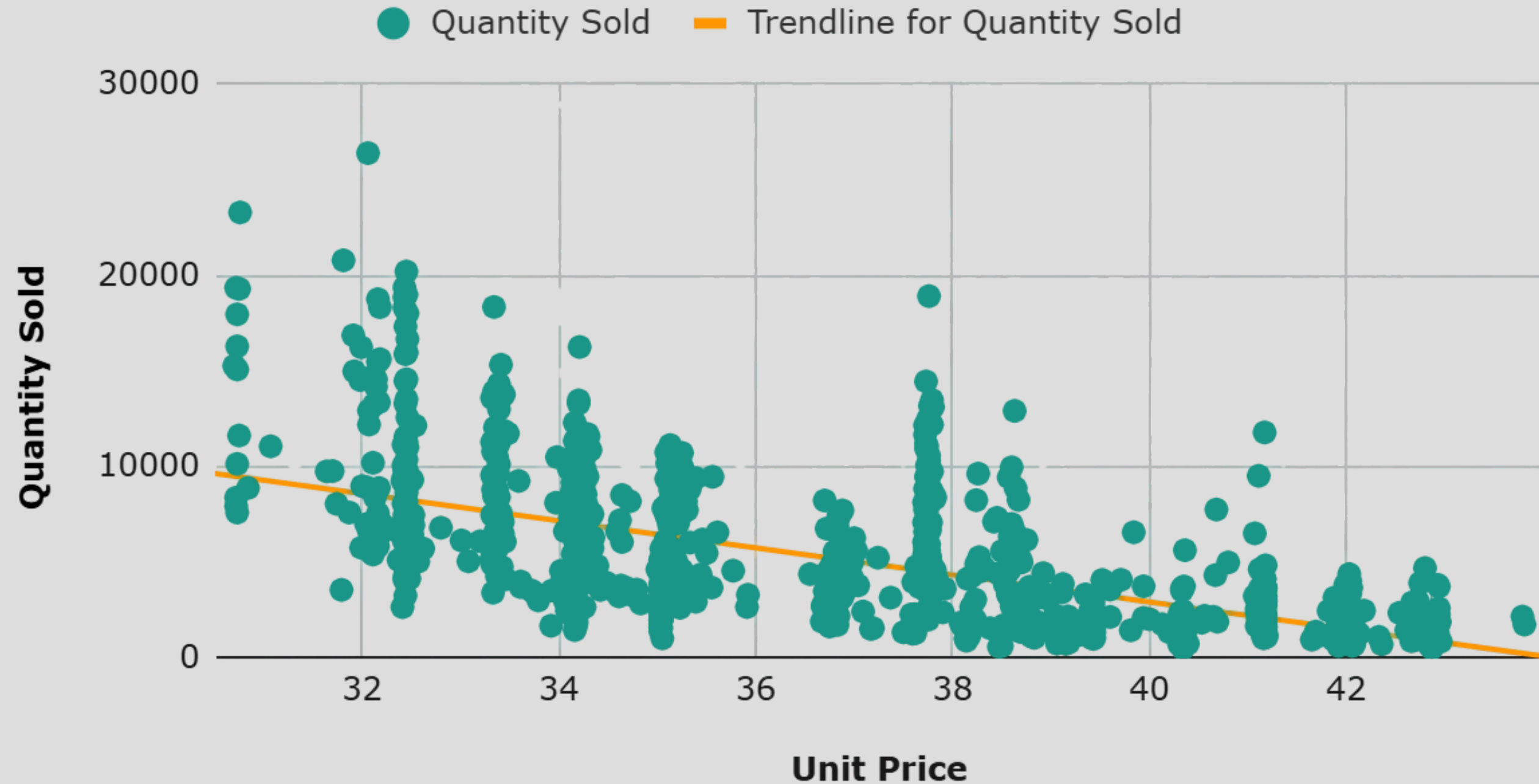
Overall finding: promotions produced much higher daily sales volumes, but the product performed worse from a profitability perspective because promotional periods had a more negative gross profit percentage.

Average Price Per Year



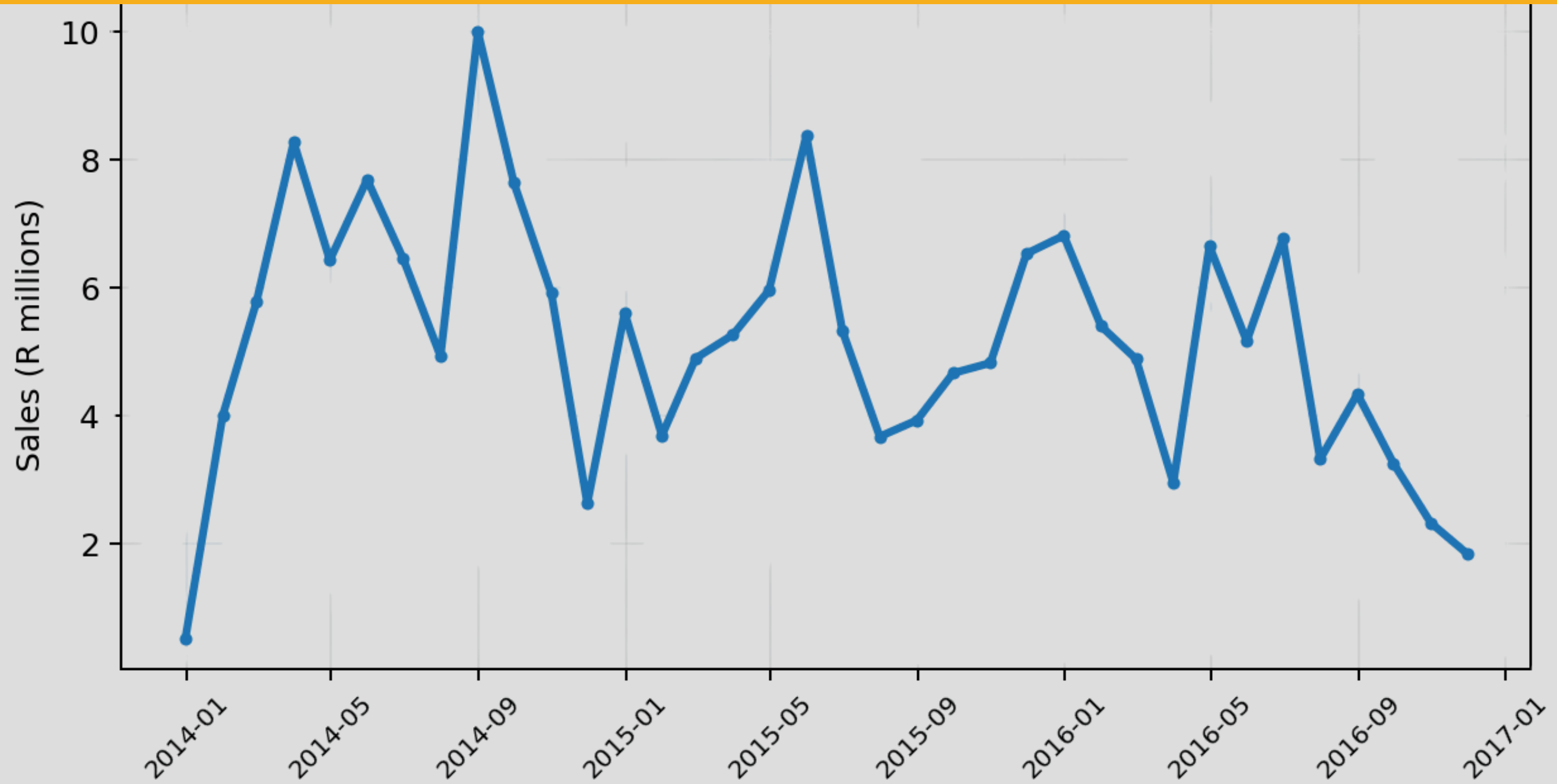
The average daily unit sales price for the product was **R37.07**. The weighted overall unit price was **R35.40**, calculated as total sales divided by total quantity sold.

Quantity Sold Per Unit Price



The average daily unit sales price for the product was **R37.07**. The weighted overall unit price was **R35.40**, calculated as total sales divided by total quantity sold.

Monthly Sales Trend



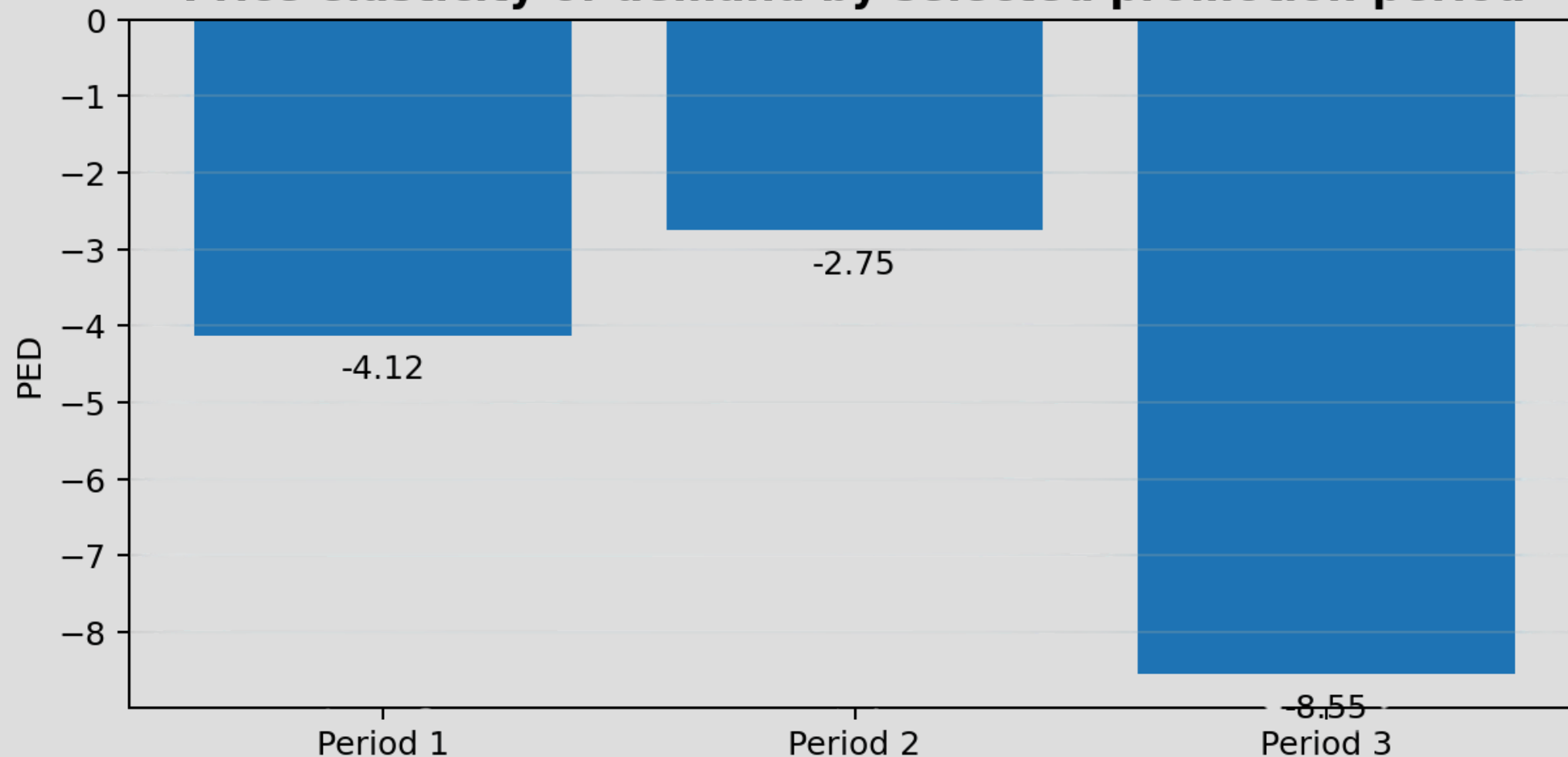
Monthly sales fluctuated across the period, with promotion periods contributing to stronger daily volumes.

Selected Promotion Periods and PED



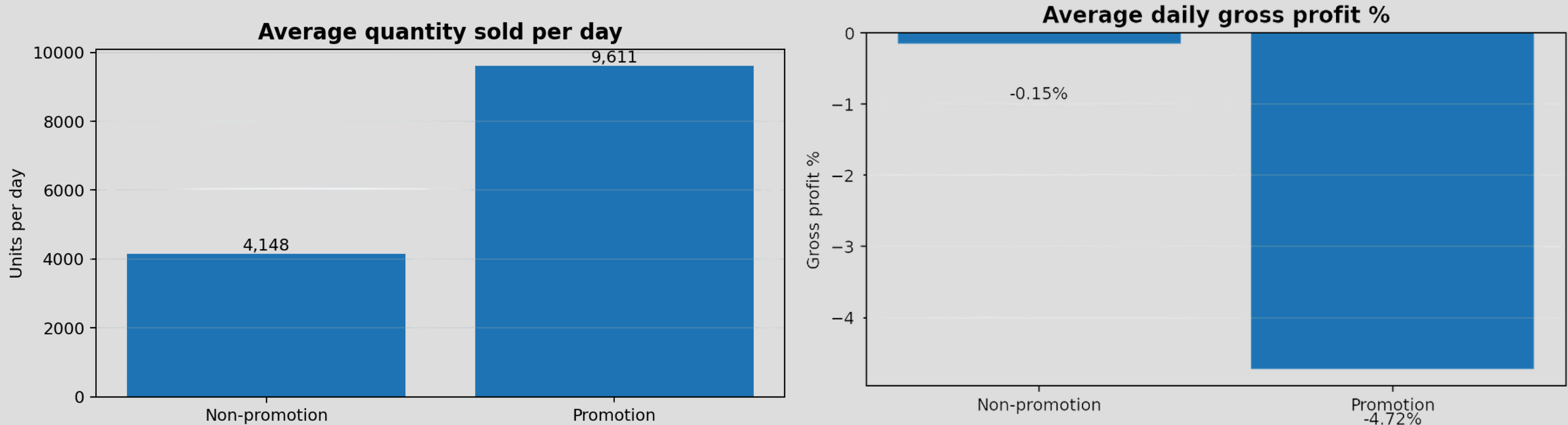
Promotion	Date range	Days	Avg price	PED	Qty/day	Avg GP %
Period 1	2013-12-30 to 2014-01-07	9	R32.46	-4.12	7,376	-2.10%
Period 2	2014-02-07 to 2014-02-17	11	R32.46	-2.75	6,518	-2.94%
Period 3	2014-02-21 to 2014-03-17	25	R32.19	-8.55	10,440	-2.97%

Price elasticity of demand by selected promotion period



All selected periods have negative PED values, showing that quantity demanded moved in the opposite direction to price. The strongest sensitivity appeared in Period 3 with PED of **-8.55**.

Promotion vs Non-Promotion Performance



2.3x

Higher quantity per day during promotions

R309.9k

Promotion sales per day

-4.72%

Promotion avg GP %

Conclusion

The product performs better on promotion when judged by sales volume and daily revenue, but worse when judged by gross profit percentage.

Recommendations

- Use promotions selectively because demand responds strongly to price changes.
- Set a minimum promotional price that protects gross profit margin.
- Track each promotion by units sold, revenue, gross profit and PED.
- Prioritise promotion periods that increase volume without creating deep profit losses.
- Continue promotions, but redesign pricing to balance volume growth with profitability.